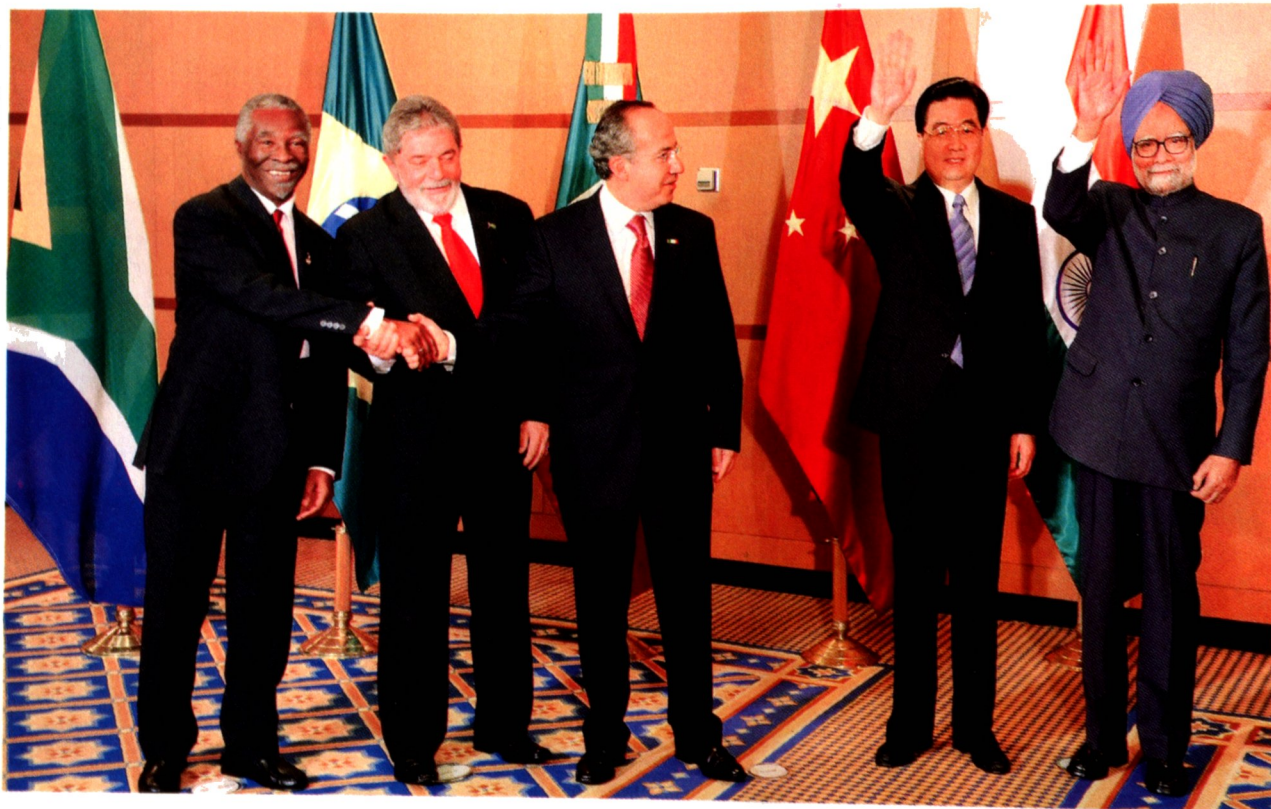




CHINA STAYED AHEAD IN THE RACE TO WIN FRIENDS AS WELL AS FAVOUR AND INDIA PROVED NO MATCH TO ITS PUSH

Meanwhile, Japan, whose economy is in deep recession, signalled a major shift in its foreign policy by entering into "a tripartite partnership" with China and

South Korea. Under its new Prime Minister Taro Aso, there were signs that it was lessening its dependency on the US and possibly grudgingly acknowledging China's dominance in Asian affairs. For India, this development dampened its hope of being regarded as a countervailing force to China in the region and the benefits that accrued from such a posture. So centred was India on the nuclear deal that only towards the end of 2008 did it find time to make the rounds of Arab countries and Iran. Nor could it focus much on Africa, regarded as the future for both oil imports and an export market. Meanwhile, India's efforts to build a tripartite partnership with Brazil and South Africa didn't gain much traction either.

So in 2009, the challenges India would face are

manifold. Top on the list would be on tackling Pakistan without becoming over-dependent on the US. With Obama in the saddle there would be pressure from the US for India to sign the Comprehensive Test Ban Treaty and to be more accommodative in climate change negotiations. India would have to work its way through the minefields. The slowdown of the world economy and the danger of a financial collapse has serious implications for India's foreign policy even as it changes the way major powers look at each other. For instance, India needs to expect a more aggressive and assertive China. Across the globe, India's wiggle room would be narrowed. But in adversity, there also lies an opportunity. India seems to act best in a crisis. It will have to prove that in the year ahead.

Things to Watch Out for

PAKISTAN: Relations between India and Pakistan expected to worsen if diplomatic pressure fails. War is unlikely but cannot be ruled out.

THE US: Barack Obama's presidency could see US trying to play umpire between India and Pakistan.

SRI LANKA: The war against the LTTE will reach a decisive stage. Expect a deal over the status of its Tamil minority.

ECONOMIC RECESSION: The global economic slowdown will reorder relations between countries. China is expected to get more aggressive and assertive.

CLIMATE CHANGE: A global pact is to be negotiated by the end of 2009. India will come under pressure to take on some commitments to cut emissions.